

2022 INVESTMENT POLICY AND REGULATORY REVIEW



India



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GLOSSARY

APEDB	Andhra Pradesh Economic Development Board in Andhra Pradesh
ASEAN	Association of Southeast Asian Nations
BIP	Bureau of Investment Promotion in Rajasthan
CCEA	Cabinet Committee on Economic Affairs
CSR	Corporate Social Responsibility
DPIIT	Department of Promotion of Industry and Internal Trade
DTAA	Double Taxation Avoidance Agreements
DSIIDC	Delhi State Industrial and Infrastructure Development Corporation Limited
FDI	Foreign Direct Investment
FDI Policy	Consolidated Foreign Direct Investment Policy Circular dated October 15, 2020
FEMA	Foreign Exchange Management Act, 1999
FET	Fair and Equitable Treatment
FIFP	Foreign Investment Facilitation Portal
FIND	Foundation for Innovative New Diagnostics
GATS	General Agreement on Trade in Services
ICMR	Indian Council of Medical Research
ICSID	International Centre for Settlement of Investment Disputes
IIA	International Investment Agreement
iNDEXTb	Industrial Extension Bureau in Gujarat
Invest India	National Investment Promotion and Facilitation Agency of India
Invest Punjab	Punjab Bureau of Investment Promotion
IPICOL	Industrial Promotion and Investment Corporation of Odisha
IPR	Intellectual Property Rights
IPRR	Investment Policy and Regulatory Review
IRDAI	Insurance Regulatory and Development Authority of India
ISDS	Investor-State Dispute Settlement



MAITRI	Maharashtra Industry, Trade and Investment Facilitation Cell
MBRT	Multi Brand Retail Trading
MHA	Ministry of Home Affairs
MOCI	Ministry of Commerce and Industry
MoU	Memorandum of Understanding
MFN	Most-Favored Nation
NASSCOM	National Association of Software and Service Companies
NDI Rules	Foreign Exchange Management (Non-debt instruments) Rules, 2019
NPD	Non-Personal Data
OI Regulations	FEMA (Overseas Investment) Regulations, 2021
PLI Schemes	Production Linked Incentive Schemes
RBI	Reserve Bank of India
SBRT	Single Brand Retail Trading
SCM	Agreement on Subsidies and Countervailing Measures
SDS	Step Down Subsidiary
SEBI	Securities and Exchange Board of India
SEZ	Special Economic Zone
SOP	Standard Operating Procedure
TDRs	Transferable Development Rights
TIP	Treaty with Investment Provisions
TRAI	Telecommunications Regulatory Authority of India
TRIMs	Agreement on Trade-Related Investment Measures
TRIPS	Agreement on Trade-Related Aspects of Intellectual Property Rights
UNCTAD	United Nations Conference on Trade and Development
WTO	World Trade Organization

1. INTRODUCTION

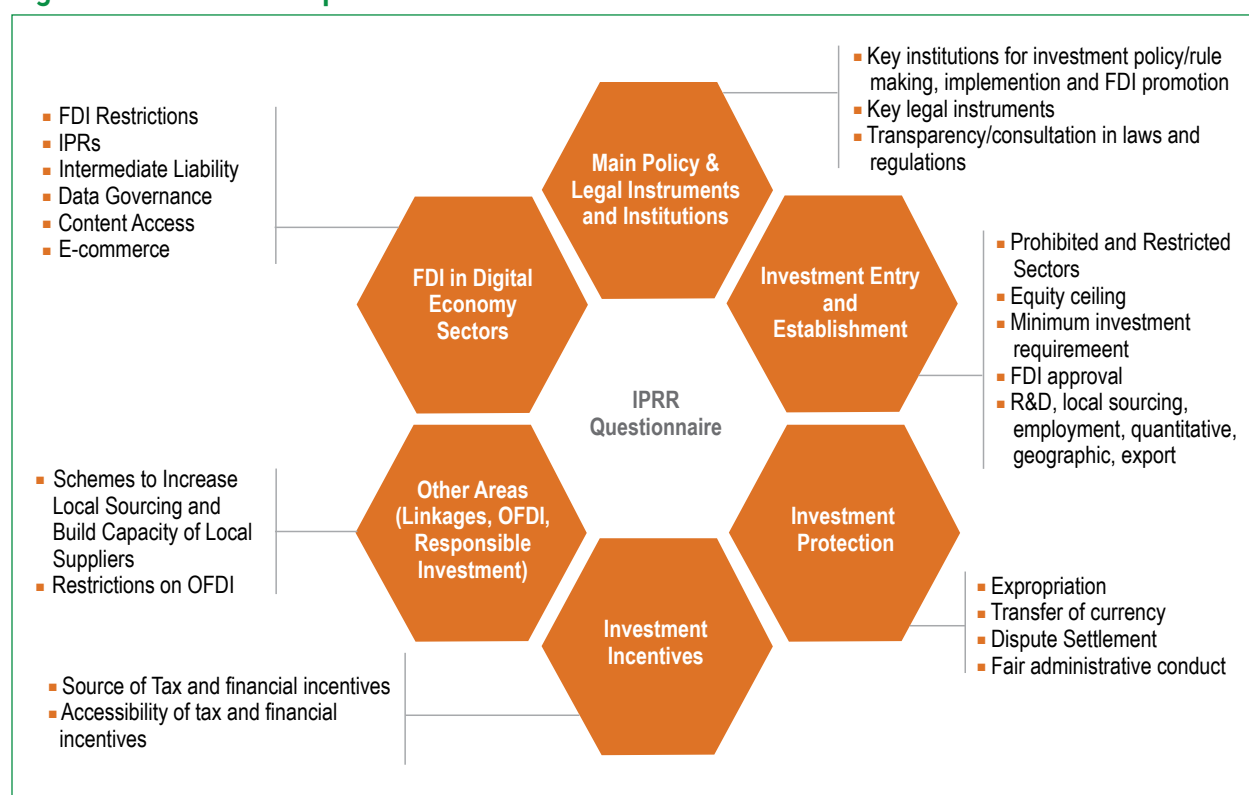
This Investment Policy and Regulatory Review (IPRR) presents information on the legal and regulatory frameworks governing foreign direct investment (FDI) in India. Since legal and regulatory frameworks are constantly evolving, a cut-off date was set for the research. This country review therefore covers information available as of **December 31, 2021**, unless otherwise indicated in the review. IPRRs are available for the following middle-income countries (MICs): Brazil, China, India, Indonesia, Malaysia, Mexico, Nigeria, Thailand, Turkey, and Vietnam.

The research for updating the IPRR was undertaken by the international law firm Kilpatrick Townsend and designated local counsel, under the supervision of the World Bank Group. The research was primarily based on a review of currently applicable policies, laws and regulations.

In some cases, consultations with regulators were conducted to collect up to date information.

The research was guided by a standardized questionnaire, covering a limited set of topics, including foreign investment entry, establishment, protection and select dimensions on FDI in digital economy related aspects. The questionnaire focused on de jure frameworks as generally applicable to a foreign investor, not located in any specialized or preferential regime (such as special economic zones). It primarily focused on national, economy-wide (rather than sector-specific) laws and regulations. For the purpose of the research, it was assumed that the foreign investor is a private multinational company with no equity interest or management control by the government of its home country (that is, not state-owned enterprise).

Figure 1. Overview of Topics Covered in IPRR



There are aspects that this IPRR does not cover. It is not a comprehensive review of the entire legal and regulatory framework affecting investment.

Information presented is not exhaustive, but illustrative of the main topics and issues covered (for example, it does not exhaustively list all available tax and financial incentives in the country). It does not present recommendations on reform areas. Notably, it does not capture de facto implementation of laws and regulations in the country. Given these limitations, information presented in this IPRR should be interpreted and used while keeping in view the overall country context and realities. Further, it contains information in summary form and is therefore intended for general guidance only. It is not intended to be a substitute for detailed legal research.

This IPRR is organized as follows:

- Section 2 provides an overview of the country's investment policy framework, including the legal instruments regulating foreign investment, key institutions involved in investment

promotion, as well as the country's foreign investment promotion strategy; it also delineates the country's international investment legal framework, including the country's commitments under the World Trade Organization (WTO) and select international investment agreements (IIAs);

- Sections 3-6 cover the country's policies and domestic legal framework concerning different dimensions of the lifecycle of an investment: entry and establishment (Section 3), protection (4), incentives (5) and linkages (6);
- Sections 7-8 explore emerging investment policy and regulatory areas — Section 7 considers outward FDI, Section 8 responsible investment;
- Section 9 focuses on city-specific investment policy and regulatory measures in the largest commercial center; and
- Section 10 focuses on FDI in the digital economy.

2.

OVERVIEW OF INVESTMENT POLICY FRAMEWORK

A. Domestic Legal Instruments Regulating Foreign Investment

While India lacks a single consolidated legislation that regulates foreign direct investment (FDI), FDI is regulated by codified foreign exchange laws, sector specific laws and government policies as well as international agreements. In addition, the general legal framework that applies to all businesses also applies to FDI.

FDI Law and Regulation

India regulates foreign investment through the Foreign Exchange Management Act, 1999, as amended (FEMA), and rules/regulations issued thereunder. The main objective of FEMA is to consolidate and amend the law relating to foreign exchange to facilitate foreign investment, external trade and payments and promote the orderly development and maintenance of the foreign exchange market in India. Specifically, the Foreign Exchange Management (Non-debt instruments) Rules, 2019 (NDI Rules), Foreign Exchange Management (Debt Instruments) Regulations, 2019 and the Foreign Exchange Management (Mode of Payment and Reporting of Non-Debt Instruments) Regulations, 2019, as amended provide the detailed regulatory framework for FDI in the country. These 2019 regulations supersede the Foreign Exchange Management (Transfer of Issue of Security by a Person Resident outside India) Regulations, 2017 and the Foreign Exchange Management (Acquisition and Transfer of Immovable Property in India) Regulations, 2018.

India's current FDI policy framework is contained in the Consolidated Foreign Direct Investment Policy Circular dated October 15, 2020 (FDI Policy). The FDI Policy is updated periodically to keep pace with the investment strategy, regulatory changes, restrictions, and procedures for FDI in India. India's government agency entrusted with the power to formulate and update the country's FDI Policy, the Department of Promotion of Industry and Internal

Trade (DPIIT), makes policy pronouncements through press notes and press releases notified by India's federal bank, the Reserve Bank of India (RBI), as amendments to the FEMA.

Sector Specific Laws

Foreign investors are subject to sector-specific laws and regulations, particularly in regulated industries such as banking, insurance and telecommunications. For example, foreign investment in the insurance sector must comply with the applicable insurance regulations and requires approval from the insurance authority, the Insurance Regulatory and Development Authority of India, even if the investment is permitted without approval under the FDI Policy.

Public Access to Foreign Investment Laws and Policies

Public access to all laws and other legal instruments is mandated through publication in India's official gazette (Gazette of India). Sections 46 and 47 of the FEMA empower the Central Government and the RBI, respectively, to make rules and regulations and requires them to notify such rules and regulations, that is, publicize them in the Gazette of India.

Legal instruments relating to foreign investment can be accessed in different places. Both the DPIIT (via its Foreign Investment Facilitation Portal, FIFP) and the RBI proactively disseminate, on their respective websites, India's laws and regulations relating to foreign investment — including amendments, national policies, clarification circulars, and press notes. Laws, regulations and policies are also available on the website of Make in India (the government's flagship investment promotion program) and on the portal of the National Investment Promotion and Facilitation Agency of India (Invest India). State and local laws are typically available at the relevant state government's investment facilitation websites (for instance, Invest Karnataka) as well as on the Gazette of India.



Further, in 2014 the Ministry of Law and Justice published the Pre-Legislative Consultation Policy that mandates every ministry and department to place a proposed law in the public domain for a minimum period of 30 days, along with supporting documents explaining the rationale, the broad financial implications, the likely impact and an explanation of the legal provisions in simple language.

Consultation with Stakeholders

Consultation with stakeholders is discretionary. Pursuant to the 2014 Pre-Legislative Consultation Policy, the ministry or department concerned may hold consultations with all stakeholders at their discretion. The concerned ministry or department may decide the degree of participation and mode of consultations, which may vary according to the nature of the subject and the potential impact on stakeholders affected by such legislation.

In practice, consultations often take place. Consultations can range from the relevant government regulatory body formally seeking industry input on detailed consultation papers to a less formal “call for comments” approach. For instance, India’s telecom regulator Telecommunications Regulatory Authority of India (TRAI) routinely issues detailed consultation papers and holds consultations with stakeholders to seek industry views on myriad issues. These range from the regulatory framework for promoting data economy through establishment of data centers, content delivery networks and interconnect exchanges in India (consultation paper issued in December 2021) to a roadmap to implement India’s new telecom policies regulating spectrum issues and over-the-top services.

Predictability and Stability in Policies and Rules

There is no express requirement that laws, regulations, or policies remain stable and predictable. However, in view of increasing investment promotion and other concerted policy efforts to increase FDI, the stability and predictability of macroeconomic and investment policies has generally been a policy priority. Therefore, while policy nuances may change periodically (for example, amendment of investment caps), the

overall construct of the investment regime has largely remained stable and permissive in the country. Having said that, specific regulatory and government actions have generated uncertainty for investors in recent years. The cancellation of telecom allocations and retrospective tax applications are the most prominent among these.

B. International Legal Instruments Regulating Foreign Investment

India has undertaken legally binding international investment commitments through a variety of international investment agreements (IIA) - signed at the bilateral, plurilateral and multilateral level. These commitments mainly cover entry and establishment conditions, protection, as well as the legality of specific types of incentives (see Table 1). It is important for India to reflect these commitments in its domestic legal framework to ensure consistency as well as to monitor their compliance.

Having been a member of the World Trade Organization (WTO) since 1st of January 1995, India has commitments under several WTO Agreements. Under the General Agreement on Trade in Services (GATS), India grants rights to services suppliers from other WTO member countries. This includes services supplied through commercial presence (defined as establishment of a territorial presence), in other words through FDI. These rights are granted through commitments undertaken in “schedules”. The “schedules” list sectors being opened, the extent of market access being given in those sectors (for example, whether there are any restrictions on foreign ownership), and any limitations on national treatment (whether some rights granted to local companies will not be granted to foreign companies). India has made commitments on market access and national treatment in 6 out of 12 services sectors in the WTO Classification¹: (i) Business services, (ii) Communication services, (iii) Construction and related engineering services, (iv) Financial services, (v) Health related and social Services, and (vi) Tourism and travel related services. In these sectors, India has made partial commitments on market access for specific services in 12 sub-sectors and on national treatment in 11 sub-sectors.

Table 1. India's International Investment Framework

Agreement(s) as Basis of Commitments	Type of Agreement	Investment Policy Dimensions Covered
WTO GATS Agreements	Multilateral	Entry and Establishment
WTO TRIMs Agreement	Multilateral	Entry and Establishment, Incentives
WTO SCM Agreement	Multilateral	Incentives
WTO TRIPS Agreement	Multilateral	Protection
Treaties with Investment Provisions (13 signed, 9 in force)	Plurilateral or Bilateral	May cover Entry and Establishment, Protection, Incentives
Bilateral Investment Treaties (11 signed, 7 in force)	Bilateral	May cover Entry and Establishment, Protection, Incentives
Convention on the Recognition and Enforcement of Foreign Arbitral Awards (New York Convention)	Multilateral	Protection (Dispute settlement)
IMF "Articles of Agreement" (Art. VIII Acceptance)	Multilateral	Protection
Double Taxation Avoidance Agreements (94 treaties in force)	Bilateral	Taxation

Source: World Bank Analysis

“Partial” means that although commitments have been made, there are still limitations/reservations, which may differ in their restrictiveness. For example, they may be more restrictive by limiting the equity contribution of the foreign investor, or less restrictive by merely requiring foreign service suppliers to become a member of a union chamber. In addition, under GATS every member is obligated to unconditionally extend to service suppliers of all other WTO members Most-Favored Nation (MFN) Treatment. However, India has made reservations in that regard in three services sectors: telecommunication services; recreation, cultural and sporting services; and transport services. For example, India maintains the right to apply different accounting rates for telecommunication operators from different countries.

Under the WTO Agreement on Trade Related Investment Measures (TRIMS), India has committed to not apply certain investment measures that restrict or distort trade (local content requirements, trade balancing requirements, foreign exchange restrictions and export restrictions). These measures are prohibited both when the obligation for the foreign investors is mandatory, and when it is tied to obtaining an advantage (that is, an incentive). Incentives are further regulated by the WTO Agreement on Subsidies and Countervailing Measures (SCM), which among others prohibits

certain types of export subsidies. Under the WTO Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS), foreign investors’ intellectual property rights are protected. In case of a violation of any of its WTO commitments, India may be sued under the WTO dispute settlement mechanism.

India has further entered into obligations through international investment agreements (IIAs) — it has signed 11 Bilateral Investment Treaties of which 7 are in force, and 13 Treaties with Investment Provisions (TIPs) of which 9 are in force. The latter category comprises treaties that include obligations commonly found in Bilateral Investment Treaties (BITs) (for example, a free trade agreement with an investment chapter). Table 2. provides an overview of select Agreements: India’s latest IIA (Brazil-India Investment Cooperation and Investment Facilitation Treaty, 2020, not yet in force), its IIA with the largest home country measured by that country’s share in India’s total FDI stock (India-Singapore CECA, 2005), as well as an IIA with expansive regional coverage (ASEAN - India Investment Agreement, 2014, not yet in force). The reviewed IIAs contain the main protection guarantees only to a limited extent. While they all provide for national treatment, protection against expropriation and a guarantee for the transfer of funds, none of them offers most favored nation treatment, and only the ASEAN-India Investment Agreement includes

a broad fair and equitable treatment clause. The Brazil-India CIFA instead features a provision on the treatment of investments that prohibits the parties from subjecting investments to a clearly defined list of breaches that are commonly regarded as falling under the FET standard, such as denial of justice in judicial or administrative proceedings, fundamental breach of due process, targeted discrimination, or manifestly abusive treatment. The agreement limits protection by

only covering direct but not indirect expropriation, and by not including the possibility of dispute settlement through investor-State dispute settlement (ISDS).

Some of India's reviewed IIAs contain commitments to liberalize. Both the ASEAN-India Investment Agreement and the India-Singapore CECA include such commitments by providing national treatment in the pre-establishment

Table 2. Comparison of India's Sample IIAs

	Largest Home Country IIA (% of total FDI stock): India-Singapore CECA (2005) (in force)	Latest IIA (date of signing): Brazil-India Investment Cooperation and Investment Facilitation Treaty (2020) (not yet in force)	Expansive Regional Coverage IIA: ASEAN - India Investment Agreement (2014) (not yet in force)
Scope of Application			
Covers Pre-establishment	Yes	No	Yes
Exclusions from Scope	Subsidies or grants.	Local government measures (exception for national treatment), taxation, issuance of compulsory licenses granted in relation to IP rights, government procurement, subsidies or grants, services supplied in the exercise of government authority.	Government procurement, subsidies or grants, services supplied in the exercise of government authority, taxation.
Standards of Treatment			
National Treatment (NT)	Pre- and post-establishment	Post-establishment	Pre- and post-establishment
Most-Favored-Nation Treatment (MFN)	No	No	No
Fair and Equitable Treatment (FET)	No	No, but list of measures circumscribing principles equivalent to FET	Yes
Full Protection & Security	No	No	Yes
Expropriation	Direct and indirect expropriation, payment of compensation	Direct expropriation, payment of compensation	Direct and indirect expropriation, payment of compensation
Rights to Transfer Funds	Yes	Yes	Yes
Prohibition of Performance Requirements	Incorporation of TRIMs standard	No	No
Dispute Resolution			
State-State Dispute Settlement	Yes	Yes	Yes
Investor-State Dispute Settlement	Yes	No	Yes, but limited to post-establishment phase of an investment

Source: World Bank Analysis based on IIAs obtained from United Nations Conference on Trade and Development (UNCTAD) Investment Policy Hub

phase. The agreements make reservations by featuring a schedule that lists measures that do not comply with the commitments included under the treaties, and a schedule which lists sectors and activities in which countries may maintain existing or adopt new or more restrictive measures.

India has in recent years overhauled its bilateral treaty commitments. In 2015, India revised its model BIT. Notably, the new model BIT features a more limited “enterprise-based” definition of investment, which means that there is a need for an incorporated legal entity to be considered as “investment” under the treaty. It also explicitly excludes specific investments, amongst others portfolio investments, intangible interests, or debt securities issued by a government. In addition, measures of local governments are excluded from scope of the model BIT, and access to investment arbitration is contingent upon exhaustion of local remedies. Following the revision of its model BIT, in 2016 India served notices to 58 countries to withdraw existing BITs. This led to the termination of the majority of these from March 2017 onwards, although many of the treaties are still in effect for 10-15 years (depending on the treaty) due to so-called sunset or survival clauses. These clauses extend treaty protection to foreign investors in the case of treaty termination in respect of investments made prior to the termination. In 2019, 2020 and 2021, India unilaterally terminated seven, six and one BIT in the respective years.

India is currently not participating in WTO negotiations on an agreement on investment facilitation for development. The aim of the agreement is to improve the investment and business climate, by improving transparency, efficiency, and effectiveness of investment-related administrative procedures. This agreement will not cover market access, investor protection and ISDS. In December 2021, 112 other WTO members co-sponsored a Joint Statement on Investment Facilitation for Development, stating the objective to conclude text negotiations by the end of 2022.

India is a member of the Convention on the Recognition and Enforcement of Foreign Arbitral Awards of 1958 (New York Convention) that facilitates enforcement of arbitral awards. It has to date been a respondent in 26 publicly known

investor-State arbitrations, ten of which have been settled, one decided in favor of the State, four decided in favor of the investor, two discontinued, and 9 remain pending.

Acceptance of Art. VIII of the IMF Articles Agreement requires India to maintain current account convertibility, enabling investors to transfer certain payments related to their investments. India is also party to 94 Double Taxation Avoidance Agreements (DTAAs) that are in force, influencing its ability to tax foreign investors and investments. Notably, as part of an effort to curb tax avoidance, India in 2016 renegotiated its DTAAs with Mauritius and Singapore.

C. Key Institutions for Investment Promotion

The National Investment Promotion and Facilitation Agency of India (Invest India) is the national-level agency charged with promoting foreign investment in the country. Various states have established their investment promotion agencies and dedicated online portals to provide information such as focus sectors and local incentives and to serve as a single window facilitator for requisite clearances to investors.

National Level Institutions

Invest India, an independent body overseen by the DPIIT, is set up to serve as a single point interface for foreign investors. It assists foreign investors with market entry strategy, expansion advisory, joint venture and strategic partners search, sector and state specific information, compliance advisory and so forth. At the ministerial level the DPIIT is charged with foreign investment promotion in India, and it functions under the administrative oversight of the Ministry of Commerce and Industry (MOCI). Invest India was formed in 2009 as a public-private joint venture between DPIIT, Federation of Indian Chambers of Commerce and Industry, Confederation of Indian Industries, National Association of Software and Service Companies (NASSCOM) and the State Governments, for promoting and facilitating investment in a more structured, focused and comprehensive manner.

Invest India is not tasked with any regulatory functions, such as granting FDI approvals. While the DPIIT plays a proactive role in resolving problems faced by foreign investors, FDI approvals are granted by the concerned ministry. With progressive liberalization the DPIIT's role and function has consistently shifted from regulation and administration of the industrial sector to formulating FDI Policy, facilitating investment and technology flows, and promoting and monitoring industrial development.

Sub-National Investment Promotion Agencies

Several states have established their investment promotion agencies and have appointed nodal officers to deal with issues in relation to foreign investment. For example, the state of Odisha has set up the Industrial Promotion and Investment Corporation of Odisha (IPICOL), which provides the necessary details an investor may require while making a decision to locate in the state. Another example of such a sub-national investment promotion agency is the Maharashtra Industry, Trade and Investment Facilitation Cell (MAITRI) set up by the state government of Maharashtra. This organization was created with the objective of attracting investment and employment in the state. It is a single-point clearing house and interface for existing and prospective investors to receive industry-related approvals and consolidated information about the process of investing in, or expanding their business operations in the state. It has a team of 41 nodal officers appointed across 16 departments and acts as a grievance redressal forum for investors.

Other similar state agencies are Industrial Extension Bureau (iNDEXTb) in Gujarat, the Bureau of Investment Promotion (BIP) in Rajasthan, the Andhra Pradesh Economic Development Board in Andhra Pradesh (APEDB), the Punjab Bureau of Investment Promotion in Punjab (Invest Punjab), and the Delhi State Industrial and Infrastructure Development Corporation Limited (DSIIDC) in Delhi. Invest India coordinates with state promotion agencies, as part of their national investment promotion functions, and it plays a central role in ensuring that FDI is on the agenda of all state agencies, state governments and stakeholders.

D. Foreign Investment Promotion Strategy

India's foreign investment promotion strategy was first stipulated in 2008 in the Scheme for Investment Promotion launched under the XI Five Year Plan 2007-2012. The Scheme is administered by the DPIIT to promote foreign investment into the country and create a dedicated investment promotion agency (that is, Invest India). In 2017 the government approved the continuation of the Scheme for 2017-2020, which was further extended in November 2021 for an additional five years, from 2021-2026.

The Cabinet Committee on Economic Affairs (CCEA) is tasked with the responsibility of driving foreign investment reforms in the country. The CCEA is chaired by the Prime Minister and composed of cabinet ministers of various ministries. It is charged with the mandate to review the economic trends on a regular basis, to develop a consistent and integrated economic policy framework for the country and coordinate all policies at the highest level, including those concerning foreign investment. Further, FDI proposals of more than INR 5,000 crore are subject to the CCEA's approval. The members of CCEA meet on need basis to discuss these issues.

In addition to the CCEA, the government periodically appoints ad hoc committees to review and suggest policy reforms affecting foreign investors. For example, on July 31, 2017, the Government of India appointed a 10-member Committee of Experts to study and identify key data protection issues in India and recommend methods of addressing them. The committee was chaired by Justice B.N. Srikrishna (former Judge of the Supreme Court of India) and comprised members of the government, academia and industry. On July 27, 2018, the Committee submitted a detailed report and a draft bill titled the Personal Data Protection Bill, 2018, which bill was tabled in the Indian Parliament in December 2019, and has been subject to long deliberations by the Joint Parliamentary Committee set up by the government for the bill's review. Under the Prime Minister's Office there is also the Project Monitoring Group (PMG), which is established to expedite resolution of investment bottlenecks for high impact project (>INR500 Crore).

3. INVESTMENT ENTRY AND ESTABLISHMENT

Market Entry and Sectoral Limitations

India prohibits foreign investment in certain sectors contained in a “negative list” (Prohibited Sectors) and restricts foreign participation through equity caps and/or other restrictions in certain others (Restricted Sectors). Other than the Prohibited and Restricted Sectors, the general position is that 100% foreign equity participation is permitted in a sector or sub-sector.

Generally, FDI can be routed into India via one of two ways: (i) the Automatic Route; and (ii) the Government Approval Route. Under the Automatic Route FDI is allowed without a requirement to seek prior approval from the concerned government ministry or department.

For example, sectors covered under the Automatic Route include hotels and restaurants, healthcare, floriculture, mining and so forth. FDI in most of the sectors is covered under the Automatic Route. Activities under the Government Approval Route require prior approval by the concerned ministry or department. Examples of sectors under the Government Approval Route include public sector banks, private security agencies, and so forth.

Prohibited and Restricted Sectors

Listed below are the Prohibited and Restricted Sectors based on the FDI Policy. Also listed below are the sectors permitting 100% FDI but requiring prior government approval.

Table 3. List of Major Prohibited and Restricted Sectors

Prohibited Sectors	Scope	
Lottery, Gambling	▪ Lottery business, including government/private lottery, online lotteries ▪ Gambling and betting, including casinos	
Legal Entities	▪ Chit funds ▪ Nidhi company	
Trading	Trading in transferable development rights	
Real Estate	Real estate business (but excluding development of townships, construction of residential /commercial premises, roads or bridges or REITs) or construction of farm houses	
Manufacturing	Manufacturing of cigars, cheroots, cigarillos and cigarettes, of tobacco or of tobacco substitutes	
Activities Closed to Private Investment	Activities/sectors not open to private investment, such as atomic energy and railway operations (other than permitted railway activities like mass rapid transport systems)	
Retail	E-Commerce - Inventory Model	
Other	Foreign technology collaboration in any form, including licensing for franchises, trademarks, brand names, management contracts for lottery businesses and gambling and betting activities	
Restricted Sectors	Restrictions on Foreign Equity	Automatic or Government Approval
Insurance	Up to 74% (100% for insurance intermediaries, including brokers)	Automatic
Petroleum Refining by PSUs	Up to 49%	Automatic
Infrastructure Companies in Securities Markets	Up to 49% (stock exchanges, commodity derivative exchanges, depositories and clearing corporations)	Automatic

Restricted Sectors	Restrictions on Foreign Equity	Automatic or Government Approval
Power Exchanges	Up to 49%	Automatic
Pension Sector	Up to 49%	Automatic
Up-Linking of News & Current Affairs TV Channels	Up to 49% (subject to Government Approval)	Government Approval
Uploading/Streaming of News & Current Affairs through Digital Media	Up to 26%	Government Approval
Terrestrial Broadcasting FM (FM Radio)	Up to 49%	Government Approval
Multi-Brand Retail Trading	Up to 51%	Government Approval
Banking Public Sector	Up to 20%	Government Approval
Banking Private Sector	Up to 74%	Government Approval above 49%
Private Security Agencies	Up to 74%	Government Approval above 49%
Print Media Publication	Up to 26% for newspaper and periodicals dealing with news and current affairs	Government Approval
	Up to 26% for newspapers and periodicals publication of Indian editions of foreign magazines dealing with news and current affairs	Government Approval
Permitted Sectors (100% FDI) Requiring Government Approval	Government Approval Threshold	
Mining and Minerals	Separation of titanium bearing minerals & ores	
Retail Trading	Including through e-commerce in respect of food products manufactured/produced in India	
Publishing/Printing	Scientific and technical magazines/specialty journals	
Publication	Facsimile edition of foreign newspapers	
Satellites	Establishment and operations	
Core Investment Companies	Engaged in investment activities involving capital of other companies	
Defense	Above 74% if likely to result in access to modern technology	
Pharmaceutical - Brownfield	Above 74%	
Air Transport Services	Above 49% for scheduled air transport service/domestic scheduled passenger airline; regional air transport service	

Source: Analysis by Kilpatrick Townsend and Stockton based on country's laws and regulations.

Note: The table is based on a review of 32 specific sectors identified for the purpose of this research.² The list of sectors is therefore not exhaustive.

In recent years, the FDI caps in several sectors have been liberalized. For instance, in February 2021 FDI in the insurance sector was increased from 49% to 74% through the automatic route for insurance companies and to 100% for insurance intermediaries. In October 2021 FDI in the telecom sector was increased from 49% to 100%, with government approval required for FDI beyond 49%. Similarly, in 2020 FDI in the defense sector was increased from 49% to 74% under the automatic

route (permitting up to 100% FDI), and 100% FDI was permitted in the single brand retail sector. In 2020, the DPIIT introduced an FDI regime for entities engaged in the news digital media sector and allowed FDI up to 26% under the government approval route for entities engaged in uploading/streaming of news and current affairs through digital media platforms (which is discussed in the section below on FDI in the digital economy).

There is no general requirement to form a joint venture with a local partner to establish business in India, but in Restricted Sectors where less than 100% FDI is permitted, foreign investors are (by implication) required to form joint ventures with a local partner. For instance, since FDI in the insurance sector is limited to 49%, the only way a foreign insurance company can set up operations in the country is by establishing a licensed local insurer through a joint venture with one or more local partners. A foreign investor may not bypass the foreign equity caps in the Restricted Sectors by mergers and acquisitions.

Restrictions on Non-Equity Contract Based Investments

Generally no special restrictions or conditions are imposed on foreign investors relative to domestic investors, as regards non-equity contract-based investments such as franchising, outsourcing, licensing, and so forth.

Forms of Establishment

Foreign investors can generally hold any type of shares in a local entity and establish a commercial entity, such as a private limited company or a limited liability partnership, subject to the applicable FDI restrictions (if any).

Foreign investors may also choose to open a liaison office, branch office, project office or a representative office in India. Prior permission of the RBI is required to open a branch office, liaison office, project office, or a representative office if: (i) the foreign investor is registered or incorporated in Pakistan; (ii) the foreign investor is registered in Bangladesh, Sri Lanka, Afghanistan, Iran, China, Hong Kong, or Macau and applies to open offices in areas such as Jammu and Kashmir, Andaman & Nicobar Islands, North-East India; (iii) the principal business of the foreign investor falls in four sectors — defense, telecommunications, security and information and broadcasting; or (iv) the foreign investor is a non-profit organization, or department of a foreign government. Activities permitted also vary based on the form of establishment. For example, Branch offices are restricted from engaging in manufacturing or processing activities in India directly or indirectly.

Minimum Investment Requirements

While there are no overarching minimum investment requirements, in certain sectors minimum investment requirements for foreign investors exist. For example, pursuant to the FDI Policy, foreign investment in multi-brand retail trading is conditioned on a minimum investment of US\$100 million. At least 50% of the first tranche of US\$100 million is to be invested in the “back end infrastructure” within 3 years. Further, 30% of the value of procurement of manufactured/processed products purchased must be sourced from Indian micro, small and medium industries. Certain minimum capital requirements also apply to investments in the Other Financial Services sector (involving financial services entities not regulated by any financial regulator). This comprises sectors that are unregulated or are partially regulated by financial sector regulators such as the RBI, the Insurance Regulatory and Development Authority of India (IRDAI), the Securities and Exchange Board of India (SEBI) and so forth. The Ministry of Finance, per its Press Release dated 16 April 2018, prescribes the following capital requirements in this context:

- US\$20 Million for Fund-based activities (merchant banking, underwriting, portfolio management, stockbroking, asset management, venture capital, custodian services, factoring, leasing & finance, housing finance, credit card business, micro credit, rural credit), and
- US\$2 million is required for non-fund-based activities (investment advisory services, financial consultancy, Forex broking, money changing business and credit rating agencies).

Quantitative Limits

There are generally no mandatory quantitative limits on the number of foreign service providers, enterprises or market players that can operate in a given sector.

Restrictions on Expatriate Appointments

In certain regulated sectors restrictions may be imposed on the constitution of the board and appointment of foreign citizens to serve on board



or in key managerial positions. For example, scheduled operators in the civil aviation sector are required to appoint an Indian citizen to the position of Chairman and Indian citizens to at least two-thirds of the board. Further, in the broadcasting carriages sector, the majority of the directors on the board of the company are required to be Indian citizens. Similarly, pursuant to the Indian Insurance Companies (Foreign Investment) Rules of 2015 (Insurance Rules) as amended on 19 May 2021, insurance companies with foreign investment are required to ensure that a majority of the board of directors, key management persons and at least one person among the senior management of all insurance companies with foreign investments shall be resident Indian citizens within a year of the implementation of these rules. Further, Indian insurance companies with foreign investment exceeding 49% are required to meet additional requirements regarding the board being composed of certain independent directors. For companies operating in the defense sector and broadcasting carriage services sector, the key managerial roles (such as Chief Security Officer and Chief Information Security Officer) may be offered only to Indian citizens; expats cannot be appointed to these positions.

Work permits or employment visas are granted to foreign nationals for technical and managerial jobs. To obtain an employment visa, a foreign national is required to be a highly skilled and/ or qualified professional and draw a gross salary exceeding US \$25,000 per year subject to certain exceptions. An employment visa is not granted: (i) for jobs for which qualified Indians are available; and (ii) for routine, ordinary, or secretarial/clerical jobs. Further, employment visas are not granted to citizens of Pakistan. Ministry of Home Affairs has published a handbook detailing the types of visas granted by India, as well as the process of obtaining employment visas (and other short-term visit visas).

There is no explicit requirement to hire local staff for establishing business in India. The position however can vary in States.

Local Sourcing and R&D Requirements

There are no overarching local sourcing obligations imposed on foreign investors.

However, FDI in certain sectors such as the retail trade sector is subject to local sourcing requirements. In the Single Brand Retail Trading (SBRT) sector, if FDI exceeds a 51% threshold in a SBRT entity, the entity is required to source from India 30% of the value of goods purchased for resale to ultimate customers, preferably from micro-, small and medium enterprises. This mandatory 30% sourcing requirement can be offset by incremental sourcing of goods from India for global operations during an initial 5 year period by the non-resident entities undertaking the SBRT, either directly or their group companies. After the 5 year period the SBRT entity would be required to meet the 30% sourcing directly towards its India operations on an annual basis. Foreign investors are exempted from the above requirements for a certain period if they engage in SBRT of products possessing ‘state-of-art’ and ‘cutting-edge’ technology, and where local sourcing is not possible. The question of what is considered to possess ‘state-of-art’ or ‘cutting edge’ technology is determined at the discretion of the government. In 2020, the Ministry of Commerce and Industry issued a clarification that sourcing of goods from SEZ units would qualify as sourcing from India for the purpose of 30% mandatory sourcing from India for proposals involving FDI beyond 51%. Similarly, in the Multi Brand Retail Trading (MBRT) sector, a MBRT entity is required to source at least 30% of the value of procurement of manufactured/processed products purchased from Indian micro-, small and medium industries, which have a total investment in plant and machinery not exceeding US\$2 million.

Foreign investors are generally not subject to any overarching local R&D investment requirements to establish a business in India. However, FDI in certain sectors may be subject to such requirements. For example, brownfield FDI in the pharmaceutical sector is subject to a requirement that R&D expenses be maintained in value terms for 5 years at an absolute quantitative level at the time of induction of foreign investment. The benchmark for this level is decided with reference to the highest level of R&D expenses incurred in any of the three financial years immediately preceding the year of the FDI's induction. Further, the administrative ministry may require complete information pertaining to the transfer of technology, if any,

along with the induction of foreign investment into the investee company. Similarly, FDI in the defense sector is conditioned on the investee firm being self-sufficient in areas of product design and development. By implication, the recipient may be required to own or acquire (even if through a license) technical capabilities for product design and development.

Foreign Investment Approval

FDI approval is required from the concerned ministry and the sectoral regulators (as applicable) for investments that fall within the Government Approval Route (see Table 3). In addition, government approval is also required for transfer of stake from one non-resident to another non-resident in sectors where FDI falls under the Government Approval Route. The concerned ministries for FDI approval vary by sector. For example, defense sector projects are subject to approval by Ministry of Defense, aviation projects by Ministry of Civil Aviation, and mining projects by the Ministry of Mines. Further, government approval is also required for investments by entities of a country, which shares a land border with India or the beneficial owner of an investment in India who is situated in or is a citizen of any such country. Pakistani citizens or entities incorporated in Pakistan can invest in India only under the government route in sectors/activities other than defence, space, atomic energy and sectors/activities prohibited for foreign investment. The Foreign Investment Facilitation Portal (FIFP) is the new online single point interface designed to facilitate the single window clearance of applications which are through the government approval route. Upon receipt of the FDI application, the concerned administrative ministry undertaking processing of the application as per the Standard Operation Procedure (SOP).

The FDI approval process is set out in the Standard Operating Procedure (SOP) published by the DPIIT in 2017. The SOP aims to simplify and streamline the procedure for filing and processing FDI proposals. It sets accelerated timelines for grant of approval, with a maximum time limit of up to 10-12 weeks if security clearance is required for a proposal. Once the

DPIIT receives a proposal, it is circulated to the concerned administrative ministry within 2 days for review. It is simultaneously circulated to the RBI for comments from the FEMA perspective. Proposals in sectors requiring security clearances (e.g., investments in broadcasting, telecom, and civil aviation, or those originating from Pakistan and Bangladesh) are sent to the Ministry of Home Affairs (MHA). All proposals are also forwarded to the Ministry of External Affairs and Department of Revenue. Comments from all relevant departments/ministries must be provided within 4 weeks (or 6 weeks if a security clearance is required). The concerned administrative ministry will then have 1-2 weeks to further scrutinize the proposal and the comments and seek any clarifications or additional information from the applicant. Once the proposal is complete in all respects, no later than 6 weeks (or 8 weeks in cases involving MHA review and security clearances) from the receipt of proposal, the concerned ministry is required to process the proposal for decision within the next 4 weeks and convey the same to the applicant. FDI proposals involving total foreign equity inflow of more than INR 5,000 crore require additional approval by India's top-level ministerial cabinet, the Cabinet Committee on Economic Affairs (CCEA).

FDI approvals are generally granted for the term of the project. However, the competent authority may sometimes specify a validity period on a case-by-case basis depending on the nature of the project and approval sought. Further, a subsequent approval may be required in some cases (for example, if there is a supplemental investment over and above the approved foreign equity amount).

On April 17, 2020, the DPIIT issued Press Release No. 3 for curbing opportunistic takeovers and acquisitions of Indian companies due to the COVID-19 pandemic by amending the FDI Policy to state that:

- An entity of a country, which shares a land border with India or where the beneficial owner of an investment into India is situated in or is a citizen of a country that shares a land border with India, can invest only under the government route.
- A citizen of Pakistan or an entity incorporated in Pakistan can invest, only under the government



route, in sectors and activities other than defence, space, atomic energy and sectors/activities prohibited for foreign investment.

- In the event of the transfer of ownership of any existing or future FDI in an entity in India, directly or indirectly, resulting in the beneficial ownership falling within the restriction/purview of the covenants, such subsequent change in beneficial ownership will also require government approval.

Other Restrictions

In highly regulated sectors foreign investors may be subject to certain other discriminatory regulations or geographical restrictions.

For instance, the Indian insurance regulator's guidelines require that local Indian reinsurers be afforded mandatory first order of preference for reinsurance business in India. More specifically, under the IRDAI (Re-Insurance) Regulations, 2018, Indian insurers underwriting the direct insurance business and contractually transferring (that is, ceding) a portion of the risk are required

to maximize retention within the country, subject to proper and adequate diversification of risks. Similarly, under the Indian Insurance Companies (Foreign Investment) Amendment Rules, 2021 the IRDAI mandates a control level of solvency of 150% for all the insurers, but for insurance companies with foreign investment, an additional requirement to meet 1.2 times of the control level of solvency, i.e., a 30% higher solvency margin must be maintained. As to geographical limitations, FDI in retail sales outlets may be set up only in cities with a population of more than 10 lakh (as per the 2011 Census) or any cities approved by state governments. Further, foreign law firms are not allowed to open offices in India, which sector is reserved solely for Indian legal firms. Per the RBI's notification dated November 23, 2020, this prohibition also applies to the opening of liaison and branch offices in India. Only licensed advocates, i.e., practitioners registered with bar authorities in India, can practice law in the country. In addition, the inability of domestic market actors to provide products/services may be considered in sensitive sectors/investment proposals requiring government approval, such as those concerned with defense and mining.

4. INVESTMENT PROTECTION

Protection Against Expropriation

India does not have a specific legislation on expropriation, but property rights are protected through a number of legal instruments. India's Constitution stipulates that no person will be deprived of property except by the authority of law. The term "property" is generally interpreted broadly to include both tangible and intangible property. Indian courts have held that property may be expropriated for public interest on payment of reasonable compensation. Foreign investors may also avail themselves of protections against expropriation under the applicable bilateral investment treaties. Such treaties typically require the expropriation to be (i) for a public purpose; (ii) non-discriminatory; (iii) in accordance with due process, and (iv) accompanied by prompt, adequate and effective compensation usually equivalent to fair market value of the expropriated investment (See Section 2.B — International Legal Instruments). India's land acquisition laws also embody similar concepts of due process and fair compensation with respect to land expropriation, requiring mandatory consultations with local self-governments, public hearings, and a formal social impact assessment before acquisition of land. The government is also required to ensure that acquisition is for a bona fide public purpose; that potential benefits outweigh social costs; and that only the minimum area necessary is acquired. The market value of land is a key criterion in determining payable compensation. Non-payment of adequate compensation, and disregard for procedural safeguards may nullify the acquisition.

Restrictions on Inflow and Outflow of Funds

Pursuant to FEMA, foreign investors may freely make inbound and outbound transfer of profits, capital gains, royalties, interest payments, and other investment related payments and funds, subject to standard compliances and net of applicable taxes (except where the investment is made or held on non-repatriable basis).

Regulations for current account transactions are fully liberalized, but government approval is still required for certain capital account transactions (for example, the acquisition and transfer of immovable property in India).

■ **Inflows: The FEMA regulations impose certain restrictions and reporting requirements on inward remittances.** For instance, capital instruments must be issued within 60 days from the day of receipt of inward remittances, or else refunded within 15 days from the date of completion of 60 days to the non-resident investor by outward remittance. Inflows are also subject to periodic reporting requirements. The FDI recipient is required to make filings in the prescribed manner within 30-60 days of an inward remittance, depending on whether subscription of securities or transfer is involved. In case of transfer of shares between a resident buyer and a non-resident seller or vice versa, no more than 25% of the consideration can be paid by the buyer on a deferred basis within a period not exceeding 18 months from the date of the transfer agreement between the buyer and the seller. Otherwise, the RBI's approval is required.

Foreign loans are governed by and subject to the RBI's new external commercial borrowing (ECB) rules implemented in 2018 and 2021.

The new framework considerably simplifies and liberalizes the ECB regime in the country. Under extant ECB rules all entities eligible for FDI are permitted to borrow through the ECB route up to US \$750 million or its equivalent per financial year (irrespective of specified activities or sector) via the Automatic Route. ECB can be raised in any freely convertible currency as well as in Indian rupees by way of loans including bank loans, securitized instruments (floating/fixed rate notes, bonds, non-convertible, optionally convertible or partially convertible debentures and so forth). Loans from recognized foreign entities have to conform to various parameters

such as minimum maturity, permitted and non-permitted end use and maximum all-in cost ceiling. The end use of ECB funds cannot be to invest in capital markets, real estate activities, equity investment, working capital purposes, general corporate purposes and repayment of rupee loans, except as mentioned in the ECB Rules. The all-in-cost (which includes rate of interest, other fees, expenses, charges, guarantee fees and so forth), cannot be beyond the prescribed threshold.

- **Outflows: Outflow of proceeds from sale, capital gains, liquidation amount, technical fees, wages, and dividends may be remitted freely (net of applicable taxes and subject to standard compliances).** If the investment is made on a repatriable basis, profits/sale proceeds can be repatriated, subject to tax clearance. Similarly, dividends and interest are freely repatriable without any restrictions (net after taxes). Pursuant to the Companies Act, dividends can be paid only out of (i) profit of the current year after providing for the depreciation; or (ii) profit of the previous financial year or years after providing for depreciation for previous years; or (iii) out of money provided by central or state Government for payment of dividend. Certain sectors may impose limitations on outflows. For instance, a lock-in period of 3 years is imposed on each tranche of foreign investment in the construction development sector (with the exception of hotels & tourist resorts, hospitals, SEZs, educational institutions, old age homes and investments by NRIs). The RBI from time to time releases notifications, circulars and clarifications in relation to conversion and outbound transfer of currency.

Dispute Settlement

A variety of dispute settlement options are available to foreign investors — including international arbitration, domestic courts and domestic arbitration, unless otherwise agreed upon in writing by the parties to an investment transaction. The Indian Arbitration and Conciliation Act, 1996 (Arbitration Act) is the principal legislation governing arbitration in India. It is based on the Model Law on International Commercial Arbitration adopted by United Nations Commission on International Trade Law, 1985. The Arbitration Act applies to both international and domestic arbitrations. In addition, special commercial courts were set up under the Commercial Courts, Commercial Division and Commercial Appellate Division of High Courts Act, 2015 and investors can also approach the National Company Law Tribunal, a quasi-judicial body set up to adjudicate issues relating to companies. In practice, dispute settlement can be time-consuming and costly.

Reportedly, India is considering the enactment of a domestic law for protection of foreign investments in India with a robust and fast track dispute resolution mechanism to settle disputes between investors and the government. A draft proposal is said to have been prepared by the Ministry of Finance for input from various regulators before it can be circulated for public comment.

India does not have a codified administrative law, but the principles of administrative law emanate from the Constitution, legislation, delegated legislation and judicial decisions. Due process is an intrinsic part of Indian administrative law and as such, any proceeding or trial requires that the arbiter adheres to principle of natural justice and rule of law.

5. INVESTMENT INCENTIVES

India does not have a centralized framework for granting investment incentives to foreign investors. Investment incentives (tax and financial) are generally available at the central and state government levels, and apply to both domestic and foreign investors. While most tax and financial incentives are provided under a specific law, notification, circular or other official announcements, discretionary, case-by-case incentives are also granted in some cases by both the central and state governments.

The incentives regime is designed to attract investments to specific sectors, promote investments in underdeveloped geographic areas, and encourage exports of goods and services. For example, sector specific incentives are available for investments in sectors such as power, ports, highways, and electronics. The Modified Incentive Package Scheme (M-SIPS) provides certain financial incentives to companies engaged in manufacturing of electronic products such as nano-electronic components, semiconductor, solar photovoltaics and so forth. Similarly, location specific incentives are available for investments in northeast states such as Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim and Tripura. In February 2019, the DPIIT released the North East Industrial Development Scheme (NEIDS) offering a number of tax and non-tax incentives to industrial units operating in the north-east region. The government has also extended incentives to start ups under the Startup India Scheme in the form of tax holidays for any consecutive 3 years (from initial 5 years) in respect to 100% of their profits, including fast-tracking of patent applications with 80% rebate. Certain tax incentives schemes (such as Service Export from India Scheme (SEIS) and Merchandise Export from India Scheme (MEIS)) are based on exports of goods and services. For example, the rewards under SEIS or MEIS are dependent on the export performance and paid out as a percentage of realized exports value.

In 2020, the Government of India introduced the production-linked incentive schemes (PLI Schemes) to make India a competitive player in global markets and boost domestic manufacturing and exports. The benefit of these PLI Schemes can be availed by both foreign investors and domestic players. To date, the Government of India has announced an outlay of INR 1.97 Lakh Crores (approximately US \$26 Billion) for the PLI Schemes across 14 key sectors:

1. Key Starting Materials (KSMs)/Drug Intermediates (DIs) and Active Pharmaceutical Ingredients (APIs)
2. Large Scale Electronics Manufacturing
3. Manufacturing of Medical Devices
4. Electronic/Technology Products
5. Pharmaceutical Drugs
6. Telecom & Networking Products
7. Food Products
8. White Goods (ACs & LED)
9. High-Efficiency Solar PV Modules
10. Automobiles & Auto Components
11. Advance Chemistry Cell (ACC) Battery
12. Textile Products: MMF segment and technical textiles
13. Specialty Steel
14. Drones and Drone Components

Each state government has its own incentive policy offering various incentives based on the priority industry, amount of investment, location and/or employment generation, typically set forth in the state's industrial policy. Some of these incentives may include stamp duty exemption for land acquisition, refund or exemption of value-



added tax (VAT), and exemption of payment of electricity duty. Other incentives include (i) tax holidays, depending on industry and region; (ii) weighted tax deductions granted to companies for R&D expenses in an approved in-house facility; and (iii) accelerated and additional depreciation for certain industries and assets. Typically, certain eligibility criteria and performance conditions apply to investors claiming incentives and exemptions.

India has recently implemented a new indirect tax regime on manufacture, sale and consumption of goods and services in the form of Goods and Services Tax (GST). The GST replaces the VAT and other forms of indirect taxation to simplify the complex central and state tax norms into a unified tax base that provides both transparency and certainty to investors. Indirect tax benefits (such as custom duty exemption) are available for import of capital goods and inputs as well as domestic procurement, including stamp duty exemption for units in special economic zones.

There is no single portal that lists clearly all tax and financial incentives available to foreign investors. Various government websites such as the DPIIT, the Ministry of Finance, Invest India, and Make In India, maintain information in relation to the same. The websites of the relevant government departments are updated periodically.

Generally, the objective behind extending a particular incentive is stated in the relevant circular, incentive notification or budget while announcing these benefits. It is also mostly stated on the portal where the particular incentive scheme is made available. For example, the Startup India portal notes that the incentive scheme is “intended to catalyze startup culture and build a strong and inclusive ecosystem for innovation and entrepreneurship in India.” Since its launch in 2016, Startup India has rolled out several programs with the objective of supporting entrepreneurs and transforming India into a country of job creators instead of job seekers.

Eligibility Criteria and Approval Process

The granting of tax and financial incentives by the Indian government to foreign investors is generally contingent upon the satisfaction of the relevant eligibility criteria. Often the incentive scheme will set out the eligibility criteria and the approval process to apply for the relevant incentive. However, the central and state governments may also offer discretionary, ad hoc incentives for certain projects on a case by case basis, depending on the scope and size of the project and its potential to create jobs in priority industries.

6. INVESTMENT LINKAGES

For the purposes of this section, research was focused on the availability of incentive schemes to increase local sourcing, technology transfer and measures to improve information exchange between foreign investors and domestic suppliers. India's investment promotion agency, Invest India, assists foreign investors in implementing market entry and expansion strategies, including helping investors connect with viable business partners in India, conducting search for joint venture partners and strategic suppliers.

As noted in the previous section, since 2020 the Government of India announced an outlay of INR 1.97 Lakh Crores (approx. US \$26 Billion) for the Production Linked Incentive (PLI) Schemes across 13 key sectors to boost national manufacturing and generate employment opportunities in India. The benefit of these PLI

Schemes can be availed by both foreign investors and domestic players.

Similarly, the Government of India, through its various agencies, regularly enters into Memorandums of Understanding (MoUs) or agreements with foreign investors or countries to incentivize technology transfer. For instance, in February 2021 the Indian Council of Medical Research (ICMR) and Foundation for Innovative New Diagnostics (FIND), Switzerland signed an MoU to strengthen the relation within the framework of the international scientific and technological collaboration and to promote cooperation in fields of mutual interest. Pursuant to the MoU, ICMR committed to make available funding up to US \$100,000 while FIND agreed to make available funds up to US \$400,000 to local partners and researchers identified through Request for Proposals (RFPs).

7. OUTWARD FOREIGN DIRECT INVESTMENT

For this section, research was focused on whether there are any legal instruments specifically covering outward investment and if there are, whether they impose any restrictions on outward investment. In India, both state-owned and private sector enterprises can undertake outward investments. The main legal instrument on outward foreign direct investment (OFDI) is the FEMA (Transfer or Issue of Any Foreign Security) Regulation, 2004 (OFDI Regulations). The RBI has also released the Master Direction on Direct Investment by Residents in Joint Venture/Wholly Owned Subsidiary Abroad, dated 1st January 2016.

Per the OFDI Regulations, an Indian entity can undertake OFDI under the Automatic Route up to the prescribed limit of 400% of its net worth

in a joint venture or wholly owned subsidiary for any bona fide activity. The RBI's approval is required if the total financial commitment exceeds 400% or if the financial commitment exceeds US\$1 billion. This applies even if the total financial commitment of the Indian party is within the eligible range of 400%.

While OFDI is allowed under the Automatic Route for most sectors, it is prohibited in a few sectors. These include a real estate business involving the buying and selling of real estate or trading in Transferable Development Rights (TDRs) — but excluding the development of townships, construction of residential/commercial premises, roads or bridges. It is also restricted in the banking business. Indian banks operating in India can set up

joint ventures or wholly owned subsidiaries (JVs/WOS) abroad subject to obtaining certain clearances from the RBI. An overseas JV/WOS, having direct or indirect equity participation by an Indian party, cannot offer financial products linked to the Indian Rupee (for example, non-deliverable trades involving foreign currency, rupee exchange rates, stock indices linked to the Indian market and so forth) without RBI's approval. Only an Indian company engaged in the financial services sector can make investment in a JV/WOS abroad in the financial services sector, provided it fulfills certain additional conditions prescribed under the OFDI Regulations.

Further, OFDI proposals in certain sectors and activities require the RBI's prior approval. These include the following:

- Overseas Investments in the energy and natural resources sector exceeding the prescribed limit. n Investments in overseas unincorporated entities in the oil sector.
- Overseas investments by proprietorship concerns and unregistered partnership firms satisfying certain eligibility criteria.
- Investments by Registered Trusts/Societies (satisfying certain eligibility criteria) engaged in the manufacturing/educational/hospital sector in the same sector in a JV/WOS outside India.
- Corporate guarantee by the Indian Party to second and subsequent level of Step Down Subsidiary (SDS).
- All other forms of guarantee offered by the Indian party to its first and subsequent level of SDS.
- Restructuring of the balance sheet of JV/WOS involving write-off of capital and receivables in the books of listed/unlisted Indian Company satisfying certain eligibility criteria.
- Capitalization of export proceeds remaining unrealized beyond the prescribed period of realization.
- Undertaking financial commitment without equity contribution in JV/WOS.

There are also certain geographical restrictions prescribed by the RBI. Investment in Pakistan

requires the RBI's approval. Investments in Nepal can be undertaken only in Indian Rupees. Investments in Bhutan are allowed in Indian Rupees and in freely convertible currencies.

There are specific rules concerning the repatriation of funds. An Indian party has the obligation to repatriate to India all dues receivable from the foreign joint venture or wholly-owned subsidiary including dividends, royalties, technical fees and so forth within 60 days of the due date. In case of disinvestment, sale proceeds of shares/securities must be repatriated no later than 90 days from the date of sale. An Indian Party may capitalize the payments due from the foreign JV/WOS towards exports, fees, royalties or any other dues from the foreign JV / WOS for supply of technical know-how, consultancy, managerial and other services within the ceilings applicable. However, capitalization of export proceeds remaining unrealized beyond the prescribed period of realization require the prior approval of the RBI.

The approach on OFDI restrictions has changed over the years. In 2012, to provide operational flexibility to the Indian party, the RBI liberalized the regulations pertaining to opening, holding and maintaining the foreign currency account by an Indian party outside India, subject to certain conditions. In 2013, the RBI reduced the OFDI limit from the then-existing 400% of the net worth of the Indian party to 100% of its net worth under the Automatic Route. However, in 2014, the RBI reinstated the earlier limit of 400%. It also mandated RBI's approval for any OFDI or financial commitment of more than US \$1 billion in a particular financial year.

The RBI intends to combine the OFDI Regulations and the FEMA (Acquisition and Transfer of immoveable property outside India) Regulations, 2015 into FEMA (Non-debt Instruments—Overseas Investment) Rules, 2021 (NDI Rules) and FEMA (Overseas Investment) Regulations, 2021 (OI Regulations). The draft Rules and Regulations introduce several procedural and conceptual changes to rationalize and liberalize the regulatory framework and to promote ease of doing business in India. Accordingly, in August 2021 the RBI published on its website the draft Rules and Regulations for public comments.

8. RESPONSIBLE INVESTMENT

For this section, research was focused on whether there are any measures within the country's investment legislation that are specifically targeted to ensure responsible investment. To promote responsible investment, India imposes corporate social responsibility (CSR) obligations (on both foreign and domestic investors). Every company operating in India having a net worth of INR 500 crore or more or turnover of INR 1000 crore or a net profit of INR 5 crore or more during the immediately preceding financial year must constitute a CSR committee. The CSR Committee is required to formulate and recommend to the board of the company the CSR activities to be undertaken, as well as to ensure that the company spends in every financial year at least 2% of the average net profits made during the three immediately preceding financial years of the company on CSR activities.

In addition, there are other recent rules that apply to foreign investors as well, which are intended to preserve the environment and to ensure products produced comply with national and international standards:

- **Environment:** In recent years, the rising levels of e-waste (discarded electrical and electronic equipment) generation in the country has been a matter of concern. To address this issue a regulatory framework to manage e-waste has been created. India's E-Waste (Management) Rules, 2016 (as amended in 2018) specify certain categories of IT goods (such as mainframes and computers) that must comply with concentration limits for certain specified substances, if they are to be imported into India. India has also enacted the Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016 (as amended in 2019), which govern the import and export of specified hazardous goods (including electronic assemblies consisting of metals and alloys, waste electrical and electronic assemblies scrap) into and out of India. The Environmental Impact Assessment (EIA) Notification dated September 14, 2006 (as amended) published by the Ministry of Environment and Forests prescribes environmental impact assessment

and subsequently environmental clearance from the concerned regulatory authority for projects or activities listed in the Notification Schedule which is applicable to foreign investors and domestic players. The Central Government may by notification amend the list to include or modify the activities that require prior environmental clearances.

- **Product compliance:** To alleviate national security and consumer safety concerns, imported telecom and other high tech equipment is increasingly subject to local testing and certification requirements. The Ministry of Communications and Department of Telecommunications implemented a domestic testing policy (Mandatory Testing and Certification of Telecom Equipment) mandating certain telecom equipment, such as core network systems, mobile switching centers and transmission devices imported into India be subject to security screening at government-affiliated laboratories. While these rules apply equally to domestic and foreign players, they appear to have a disproportionately adverse impact on foreign entities by subjecting them to duplicative testing and potential registration delays.
- **Similarly, the Ministry of Electronics and Information Technology has implemented a compulsory registration requirement for certain categories of electronic and IT equipment.** The manufacturers of these products are required to apply for registration from the Bureau of Indian Standards (BIS) after getting their products tested by BIS recognized labs. This is done in order to meet Indian product safety standards (even if the listed products already meet international or nation-of-manufacture standards certifications).
- **Further, Ministry of Road Transport and Highways (MORTH) and Automotive Industry Standards Committee (AISC) have introduced regulations for ensuring safe and high-quality automotive products,** including the AIS-140 standard which has ensured tremendous improvement in safety and emergency services to the citizens taking public transport for their daily commute or long-distance travel.

9.

CITY SPECIFIC REVIEW—MUMBAI

As a federal country with 29 states, the task of formulating and implementing consistent investment policy and regulation across the country is challenging. There is not just the need to strengthen the capacity of individual states, but also to improve the coordination between national and subnational governments.

Regarding policy and law formulation, Article 246 of the Constitution of India sets out the areas in which the Union (Indian Parliament) and the Legislature of states can, respectively, exercise their authority to make law. List I in the Seventh Schedule enumerates items on which only the Indian Parliament (and not state legislature) can make laws on, while List II provides those on which state governments can draft laws. There is a List III (that is, the concurrent list), on which both the Center and the state can draft laws. If any provision of a state law conflicts with the central legislation — with respect to the matters enumerated in List I or III — then the central legislation would prevail, unless the state law provision has received the President's assent. FDI falls within List I. However, FDI projects — and their implementation — are impacted by a large number of laws and regulations that fall within the mandate of states. Thus it is important to ensure that states are also aligned on the overall objective of FDI attraction. By way of illustration, 100% FDI is allowed in the tourism sector under the automatic route. Tourism as a category is not listed in any of the lists — however, tourism related areas fall within all the lists. For example, List I includes 'passports and visas', 'ancient and historical monuments and archaeological sites of national importance'; List II includes 'land', 'markets and fairs', 'inns and innkeepers', 'theatres, entertainment and amusement'; List III includes all 'other archaeological sites and

remains'. This can lead to a confusing and sometimes inconsistent policy and regulatory framework on tourism, where state laws do not reflect the Central government's intention of allowing 100% FDI and promoting the sector.

As the largest recipient of FDI, Mumbai and more broadly the State of Maharashtra does not impose additional city specific regulatory barriers to FDI. Rather, additional incentives are provided by the government of Maharashtra to attract investments in the State, pursuant to the Maharashtra Industrial Policy 2019. The state has also set up Maharashtra Industry, Trade and Facilitation Cell (MAITRI) to facilitate ease of doing business.

Maharashtra has launched sector specific policies and has announced several thrust sectors to be accorded priority in land allotment and incentives. These include electric vehicles, aerospace, defense manufacturing, robotics, nanotechnology and so forth. A variety of incentives are made available for large scale investments in under-developed areas, including industrial promotion subsidy on state tax, stamp duty exemption for acquiring land and term loans, exemption from payment of electricity duty during an eligibility period, with additional incentive for thrust sectors. Mega and ultra-mega projects (that is, projects with investment above a specific value) can qualify for fiscal incentives up to 100% of the fixed capital investment. The state's special economic zones policy (SEZ Policy) also offers incentives such as exemption of all state and local taxes stamp duty and registration fees, and an expeditious process for land acquisition and obtaining permits, among others. The state government may consider providing customized packages of incentives on a case-by-case basis, which may lead to discretionary decision making, sometimes negatively impacting investors.

10. FDI IN THE DIGITAL ECONOMY

This section examines India's legal and regulatory framework impacting investment in digital activities and infrastructure. The first subsection assesses FDI-specific restrictions that apply to 19 different digital economic sectors or activities (see Table 4). The following sub-sections review a number of legal and regulatory dimensions that may affect both foreign and domestic investments in the

digital economy: intellectual property rights, data privacy, data localization, intermediary liability, content access, and e-commerce.

FDI-Specific Restrictions

India's extant FDI policy largely permits foreign direct investment in the key digital economy

Table 4. FDI Equity Restrictions in India's Digital Economy Sectors

Digital Activity/Sector	FDI Caps, if any "100%" Means No Caps on Foreign Equity	Government or Automatic Approval Route
3D Printing	100%	Automatic
AI and Machine Learning	100%	Automatic
Big Data & Analytics	100%	Automatic
Blockchain	100%	Automatic
Cryptocurrency	100%	Automatic
Drones	100%	Automatic
E-Commerce	100% in Marketplace Model (B2B) Prohibited in Inventory Model (B2C)	Automatic Prohibited
Fintech	100%	Automatic
Gig Worker Platforms	100%	Automatic
Healthtech	100%	Automatic
Insurtech (Insurance Intermediaries)	100%	Automatic
IoT Devices	100%	Automatic
Logisticstech	100%	Automatic
Robotics	100%	Automatic
Social Network Platforms* *Current policies unclear if social media intermediaries will fall under "digital media" and thereby subject to the FDI cap	26% in digital media entity including OTT uploading/ streaming of news & current affairs on websites, apps or platforms, news aggregators using software or web to aggregate news*	Government approval
Cloud computing Infrastructure (e.g. Datacenters)	100%	Automatic
Telecom Services	100%	Automatic
Telecom Equipment to Enable Digital Infrastructure and Digital Connectivity	100% in Category 1: duct space, towers and dark fiber 100% in Other Service Providers (call centers, telemarketing, ITES)	Automatic Automatic
Traveltech	100%	Automatic

Source: Analysis by Kilpatrick Townsend and Stockton based on country's laws and regulations.

areas identified in the Table 4. In 2020, a new FDI regime was introduced for entities engaged in the news digital media sector, allowing FDI up to 26% under the government approval route for entities engaged in (i) uploading/streaming of news and current affairs through digital media websites, apps or other platforms, (ii) news agencies which gather, write and/or distribute news to digital media entities or news aggregators, and (iii) news aggregators using software and web applications to aggregate news content from various sources in one location.

Other than the equity ceilings noted in the Table above, India has few specific restrictions to FDI in the digital economy. There is no separate screening process for digital FDI. There are no minimum investment requirements or other discriminatory restrictions or quotas or local sourcing requirements specifically for digital FDI. Nor are there any requirements specifically imposed on foreign investors in the digital economy sectors to invest in local R&D, meet any export quotas, or to transfer technology to local business partners. Rather, the rules applicable to FDI in the traditional sectors described in sections above equally apply to FDI in the digital economy.

No restrictions are placed on the appointment of expatriates on the board of directors or key managerial positions, except in the social media and insure-tech sectors. More specifically, significant social media intermediaries (described in the section on Intermediary Liability below) must ensure the majority of board of directors to be Indian citizens and the CEO to be an Indian citizen. Further, a social media entity with FDI is required to obtain security clearance of all foreign personnel likely to be deployed for more than 60 (sixty) days in a year, by way of appointment, contract or consultancy in any capacity for functioning of the entity prior to deployment. Similarly, an insurance intermediary that has a majority shareholding of foreign investors must ensure that at least one from among the chairman of the board of directors or the CEO or principal officer or Managing Director of the insurance intermediary is a resident Indian citizen.

Recent Policies in Digital Economy Sectors

The Government of India has in recent years taken several measures to regulate specific digital economy sectors:

- **Cryptocurrency:** The RBI has released caution notes setting out the risks for holders and traders of virtual currencies including Bitcoin. On April 6, 2018, the RBI restricted all regulated entities under its purview from dealing in virtual currencies and providing services for any person or entity dealing with virtual currencies thereby essentially banning the trading in cryptocurrency. In 2020, the Supreme Court in the case of Internet and Mobile Association of India v. Reserve Bank of India struck down the curbs imposed by the RBI and asked the Central Government to frame policies for cryptocurrency. The Government of India proposes to regulate the sector and the draft legislation on cryptocurrencies has been tabled before the Cabinet and awaits its approval.
- **Drones:** Flying drones in India is legal but has been recently regulated. The necessary legal framework came into effect on December 1, 2018 when the Ministry of Civil Aviation notified the Drone Regulations with an aim to liberalize and ease the process of using drones in India for various purposes, including non-commercial use. Commercial drone operations require permits based on the weight of the drone and flight altitudes. This regulation has engendered greater investor confidence by clarifying the legal status of drones in India.
- **Fintech:** In December 2020, the RBI released the Enabling Framework for Regulatory Sandbox to encourage innovation and commercial testing of fintech industry solutions in a controlled environment with limited regulations and customer exposure. The Regulatory Sandbox aims to facilitate live testing of new products and services in a controlled regulatory environment with appropriate safeguards and oversight to enable stakeholders (the regulator, innovators, financial service providers and customers) to assess the benefits and risks of new financial innovations before wider-scale launch. Further, it aims to provide a structured avenue for the regulator to engage with market participants and to develop innovation-enabling or innovation-responsive regulations that facilitate delivery of safe and low-cost innovative financial products in India.
- **Cloud computing infrastructure:** While there is no direct law in relation to cloud computing, the



Government is taking steps to address the risks involved in cloud computing and is trying to create a clear regulatory framework. The RBI also constituted a working group on Cloud Computing Options for small size urban cooperative banks. In November 2020, the Ministry of Electronics and Information Technology (MeitY) issued a draft Data Centre Policy 2020 with a vision to make India a global data center hub and to encourage the development of in-country data center parks, assigning “infrastructure” status to this sector, in par with the railways and power sector to help with availing long term benefits available to infrastructure investors.

Intellectual Property Rights

Digital intellectual property (such as e-books, digital platforms, downloadable music, digital content, software, databases, chips designs, networking equipment and server technology to name a few) is afforded protection under India’s intellectual property regime, subject to the various criteria under applicable statutes such as the Patents Act, 1970 and the Copyright Act, 1957. Statutory remedies for infringement include an injunction and, at the option of the plaintiff, either damages or an account of profits. A court may also order the infringing goods to be seized, forfeited or destroyed, as the court deems fit under the circumstances without payment of any compensation. The Copyright Act provides for both civil and criminal remedies for infringement. Courts may also direct internet service providers (ISPs) to block infringing websites.

The Patent Act permits “compulsory licensing” and the Copyright Act provides for broad “fair use” exceptions (such as for “fair dealing” and research) that can potentially undermine the protections afforded to inventors and authors under these statutes. For example, the concept of “fair dealing” is not defined in the statute. Consequently, the local courts have broad discretion in interpreting this legal doctrine depending on the specific facts of a case.

There is no specific statute for protecting trade secrets, but they are afforded common law protection in Indian courts. Parties also use contracts to protect confidential information against

unauthorized disclosure. Civil remedies for breach of confidence include an injunction, the return of all confidential and proprietary information, and compensation or damages. Criminal remedies are provided under the Information Technology Act, 2000 in case of cybercrimes or breach of secured access to any electronic information which has been disclosed without the consent of the person concerned.

Further, there is no system to effectively protect test data submitted to regulators for marketing approvals for pharmaceutical products, which is a significant gap for investors. Although some of India’s IP protection laws are generally at par with international standards, piracy and counterfeiting is a problem and IP enforcement is ineffective and uneven in India.

Data Privacy

India’s current omnibus data protection law is the Information Technology Act, 2000 (IT Act) and its implementing rules, the Information Technology (Reasonable security practices and procedures and sensitive personal data or information) Rules, 2011 (IT Rules). The IT Rules impose certain obligations and compliance requirements on organizations that collect, process, store and transfer “sensitive personal data” or information of natural persons, such as obtaining consent, publishing a privacy policy, responding to requests from individuals, disclosure and transfer restrictions. The IT Rules apply only to the body corporates that collect information from natural persons. Organizations that provide services relating to collecting, storing, or handling sensitive personal data pursuant to a contractual relationship, such as outsourcing organizations, are exempt from complying with the personal data collection and disclosure obligations in the IT Rules. The IT Act has extra-territorial reach and applies to any offence or contravention committed outside India by any person irrespective of nationality if the act or conduct constituting the offence or contravention involves a computer, computer system or computer network located in India. The IT Act does not provide for a regulatory authority governing compliances with the data regime. The statute was primarily designed to regulate electronic data



on computer or information technology systems without specific focus on data privacy issues, hence it lacks the requisite safeguards required for an effective personal data regime.

A new omnibus Personal Data Protection Bill, 2019 (Bill) is currently being considered in India which, if implemented, will change the country's data privacy landscape, and focus on greater data localization requirements. The Bill provides for protection of the privacy of individuals relating to their personal data, stipulating norms for social media intermediary, cross-border transfer, accountability of entities processing personal data and remedies for unauthorized and harmful processing. It also provides for establishing a “data protection authority.” Among other requirements, “explicit consent” would be mandatory for the cross-border transfer of sensitive personal data and a copy of all “sensitive personal data” and “critical personal data” would need to be stored in India. The Bill has been drafted in line with the EU General Data Protection Regulation. It is currently in the final stages of parliamentary review being examined by a Joint Parliamentary Committee (JPC) on Personal Data Protection. Once the report of the JPC is finalized, the draft Bill and the report by JPC will be tabled for approval before the Lok Sabha and Rajya Sabha (the lower and upper houses of the Indian Parliament). Thereafter, the Bill will be assented to by the President of India and become the law governing personal data protection in India.

Further, there is also a regime change envisioned for Non-Personal Data (NPD). In September 2019, the Ministry of Electronics & Information Technology constituted a committee of experts to deliberate on issues related to NPD and suggest suitable recommendations for its regulation. On July 12, 2020, the Committee released its report for public consultation on inter alia the enactment of a legislation for regulation of NPD (NPD Statute) as well as establishment of an authority under NPD Statute (NPD Authority).

The IT Act does not impose any requirements for data privacy impact assessments. However, the PDP Bill adds this additional obligation on a “significant data fiduciary.” Such “significant data fiduciary” entities shall be notified by the Government from time to time on the basis of

criteria such as the volume, sensitivity, risk of harm by processing of the personal data etc. undertaken by data fiduciaries. A data fiduciary is an entity that alone or together with others determines the purpose and means of processing of personal data. If the significant data fiduciary intends to undertake any processing involving new technologies or large-scale profiling or use of sensitive personal data such as genetic data or biometric data, or any other processing which carries a risk of significant harm to data subjects, such processing cannot commence unless the data fiduciary has undertaken a data protection impact assessment. The circumstances, or class of data fiduciary, or processing operation where such data protection impact assessment shall be mandatory is yet to be specified via regulations upon the setting up of the “data protection authority” pursuant to the Bill.

The IT Act allows the government to access data that is collected and stored by private entities. This is especially the case when it is in the interest or is necessary or in the interest of the sovereignty or integrity of India, defence of India, security of the State, friendly relations with foreign States or public order, or for preventing incitement to the commission of any cognizable offence relating to the above or for investigation of any offence. The IT Act empowers the government to issue directions for interception or monitoring or decryption of any information through any computer resource, the procedure and safeguards for which are contained within the IT Rules.

Intermediaries are also obligated to assist and provide access to the government for these purposes. Under the Intermediary Guidelines, a “significant” social media intermediary (defined below) providing services primarily in the nature of messaging has the obligation to enable the identification of the first originator of the information on its computer resource, as may be required by a judicial order passed by a court of competent jurisdiction or an order passed by the central or state government. However, this power is restricted and such order can only be passed if there is no less intrusive means for identifying the originator and only for the purposes of prevention, detection, investigation, prosecution or punishment of an offence related to the sovereignty and integrity

of India, the security of the State, friendly relations with foreign States, public order, or of incitement to an offence relating to the above or in relation with rape, sexually explicit material or child sexual abuse material, punishable with imprisonment for a term of not less than five years. Further, the significant social media intermediary is not required to disclose the contents of any electronic message, any other information related to the first originator, or any information related to its other users.

The IT Rules also state that a body corporate is bound to share this information with the government upon receiving a request in writing which states the purpose of seeking the information. There is no prior consent needed from the information provider as the government agencies can obtain information including sensitive personal data or information for the purpose of verification of identity, or for prevention, detection, investigation including cyber incidents, prosecution, and punishment of offences.

The IT Rules stipulate the pecuniary and penal sanctions for non-compliances, which include the following:

- (i) punishment for disclosure of personal information in breach of lawful contract can extend to a term of three years in prison and/or a fine which may extend to INR five lakhs (INR 500,000).
- (ii) damages to be paid by way of compensation for wrongful loss or gain caused to a person for failure to protect data due to negligence in implementing and maintaining reasonable security standards and procedures set out in the IT Act and the IT Rules.
- (iii) if an intermediary does not preserve and retain such information as may be specified for such duration and in such manner and format as the central government may prescribe, the consequence is imprisonment for three years including liability for a fine.
- (iv) a residuary penalty may be imposed for contravention under the IT Act or IT Rules for which no penalty has been separately provided, which may be compensation to a person affected or a penalty which shall not exceed INR twenty-five thousand (INR 25,000).

The PDP Bill provides penalties and compensations for specific offences and for contravening the provisions of the Bill such as failure to comply with data principal's request. Under the PDP Bill, re-identification and processing of de-identified personal data is also an offence. The residuary penalty for a breach of any requirements under the PDP Bill extends to INR one crore (INR10,000,000) in case of significant data fiduciaries and a maximum of INR twenty five lakhs (INR 2,500,000) in other cases.

Data Localization

There is no omnibus law imposing data localization requirements in India, but there are certain regulatory bodies that have enacted rules for data localization. For instance, effective April 6, 2018, the RBI mandated all payment system providers and their intermediaries, third party vendors, service providers and so forth to store their end-to-end transaction data on servers/ infrastructure located in India. In April 2021, the RBI issued sanctions against a few global payment processing companies penalizing them for failure to comply with the RBI's payment data localization mandate. Similarly, as of April 2017, the insurance regulator of India mandates all insurance companies to store the data of their customers in India. The FDI Policy 2020 prohibits all FDI-receiving entities in the broadcasting sector to transfer the subscribers' databases to any person/place outside India unless permitted by relevant law.

Under the current IT Act, there are also no statutory restrictions banning cross-border data transfers, except for certain conditions for transfer of sensitive personal data and except for certain sector specific exceptions as noted above. A body corporate or any person on its behalf may transfer sensitive personal data or information to any other body corporate or person located in any other country so long as the recipient ensures the same level of data protection that is adhered to by the transferring body corporate pursuant to the IT Rules. Further, the transfer may be allowed only if it is necessary for the performance of the lawful contract between the body corporate or any person on its behalf and the data subject or where such subject has consented to the data transfer. The

extant regime does not make a distinction between transfer and processing.

The pending PDP Bill, however, imposes data localization requirements for sensitive personal data and critical personal data sub-categories, noting that critical data cannot leave the country. At the same time, it does not define the term. More specifically, Section 34 (1) of the PDP Bill allows conditional transfer of sensitive personal data outside India for the purposes of processing upon explicit consent being given by the data principal for the transfer and where:

- the transfer is made pursuant to a contract or intra-group scheme approved by the regulatory authority. This scheme has to entail provisions for effective protection of the rights of the data principal under the PDP Bill, including in relation to further transfer to any other person and provisions of the liability of the data fiduciary for harm caused due to non-compliance of the provisions of such contract or intra-group scheme by such transfer; or
- the central government, after consultation with the regulatory authority, has allowed the transfer to a country or, an entity in a country or, an international organization on the basis of its finding that the sensitive personal data shall be subject to an adequate level of protection, having regard to the applicable laws and international agreements; and grievance redressal by data fiduciary. Further, such transfer should not prejudicially affect the enforcement of relevant laws by authorities with appropriate jurisdiction; or
- the regulatory authority has allowed transfer of any sensitive personal data or class of sensitive personal data necessary for any specific purpose.

Further, Section 33 (2) of the PDP Bill restricts processing of certain types of data, termed “critical personal data”, to only within India. This term means personal data as may be notified by the central government to be deemed critical personal data. However, Section 34 (2) provides exemptions and permits such transfer abroad:

- to a person or entity engaged in the provision of health services or emergency services where such transfer is necessary for prompt action un-

der Section 12 of the PDP Bill which contains the grounds for processing of personal data without consent; or

- to a country or, any entity or class of entity in a country or, to an international organization, where the central government has deemed such transfer to be permissible under the above clause and where such transfer in the opinion of the central government does not prejudicially affect the security and strategic interest of the State.

The extant law does not regulate or mandate data storage in India. However, the PDP Bill strives to bridge that gap. Section 33 (1) of the PDP Bill states that while the sensitive personal data may be transferred outside India subject to fulfillment of certain conditions (as explained above), such sensitive personal data shall continue to be stored in India. Hence, when the PDP Bill comes into force there will be mandatory local data storage requirements for sensitive personal data.

Intermediary Liability

Intermediaries are governed under the IT Act and the Information Technology (Guidelines for Intermediaries and Digital Media Ethics Code) Rules, 2021 (Intermediary Guidelines). Section 2 (w) of the IT Act defines intermediaries with respect to particular electronic records as “any person who on behalf of another person receives, stores or transmits that record or provides any service with respect to that record”. This term includes telecom service providers, network service providers, internet service providers, web-hosting service providers, search engines, online payment sites, online-auction sites, online-market places and cyber cafes.

The Intermediary Guidelines mandate the intermediaries to adhere to certain due diligence obligations and compliances in order to avail of the “safe harbor” immunity granted under Section 79 of the IT Act (see further below). The due diligence obligations include (i) prominently publishing – on its website or application or both – the rules and regulations, privacy policy and user agreement for access or usage of its computer resource by any person, (ii) informing the users of prohibited content, (iii) removing offending

content, (iv) complying with notice and take down and prescribed record preservation requirements, and (v) expeditiously furnishing information regarding verification of identity and other pertinent information for investigation or cybersecurity activities to law enforcement agencies on request.

The Intermediary Guidelines distinguish between social media intermediaries and their respective obligations based on various factors, sub-categorizing them into a “social media intermediary” or a “significant social media intermediary” (SSMI). The Government of India via its notification dated 26 February, 2021 specified fifty lakh registered users in India as the threshold for a social media intermediary to be considered a SSMI. SSIMs must comply with substantially more onerous due diligence obligations to claim the protections available under the Guidelines, such as appointing an Indian resident as chief compliance officer, a nodal officer for coordination with law enforcement agencies, and a resident grievance officer, and publishing a monthly compliance report of complaints filed and decided. Further, additional due diligence obligations also apply to online publishers, including digital news media and OTT providers, in relation to news and current affairs content, subject to oversight by the central government.

The “safe harbor” protection (i.e., immunity from liability) under Section 79 of the IT Act grants a conditional immunity to “passive” intermediaries from liability for objectionable user-generated content on their platform, subject to the following conditions: (i) the intermediary’s function must be limited to providing access to a communication system over which information made available by third parties is transmitted or temporarily stored or hosted, (ii) the intermediary must not initiate the transmission, select the receiver of the transmission, and select or modify the information contained in the transmission, and (iii) the intermediary must exercise due diligence while discharging its duties under the act.

The “safe harbor” protection will not extend to an intermediary in two scenarios: (i) the intermediary has conspired or abetted or aided or induced, whether by threats or promise or otherwise in the commission of an unlawful act; or (ii) upon receiving actual knowledge, or on being notified

by the appropriate Government or its agency that any information, data or communication link residing in or connected to a computer resource controlled by the intermediary is being used to commit the unlawful act, the intermediary fails to expeditiously remove or disable access to that material on that resource without vitiating the evidence in any manner.

There are no user identity requirements imposed on intermediaries. An intermediary has no obligation to ensure users supply accurate personal information. Rule 5 of the Information Technology (Reasonable Security Practices and Procedures and Sensitive Personal Data or Information) Rules, 2011 states that a body corporate shall not be responsible for the authenticity of the personal information or sensitive personal data or information supplied by the provider of information to the body corporate.

An intermediary (other than an SSMI) has no obligation to proactively monitor users’ activities. However, it is obligated to address complaints received via the grievance redress mechanism established pursuant to the Intermediary Guidelines, and to inform its users not to share certain types of restricted information. An SSMI, on the other hand, is subject to onerous due diligence obligations and it must deploy technology-based measures, including automated tools or other mechanisms to proactively identify objectionable content, and some of these measures to comply with agencies’ demands to provide information about their users’ activities raise privacy concerns and data security concerns.

The IT Act and the Intermediary Guidelines provide for a notice and takedown regime. An intermediary must comply with a “takedown” notice within 36 hours of receiving “actual knowledge.” As such, an intermediary on whose computer resource the information is stored, hosted or published, upon receiving actual knowledge in the form of an order by a court of competent jurisdiction or on being notified by the government or its agency, must not host, store or publish any unlawful information which is prohibited under any law in relation to the interest of the sovereignty and integrity of India; security of the State; friendly relations with foreign States; public order; decency or morality; in relation to contempt of court; defamation; incitement to an

offence relating to the above, or any information which is prohibited under any law for the time being in force. An intermediary must also establish a grievance redressal mechanism in accordance with the Intermediary Guidelines, but take down of content from complaints received through this private system is voluntary.

A breach of the Intermediary Guidelines may result in the intermediary losing its “intermediary” status and the “safe harbor” protection accorded as a result of this status. In certain instances, an intermediary may also be held directly liable for the information hosted by its users under the IT Act and the Indian Penal Code 1860, which contain both penal and financial penalties.

Content Access

Section 69A of the IT Act and Rule 16 of the Intermediary Guidelines authorize the Secretary, Ministry of Information and Broadcasting, to issue directions for blocking public access to any information through any computer source for several reasons: in the interest of (i) sovereignty and integrity of India, (ii) defence of India, (iii) security of the State, (iv) friendly relations with foreign States or (v) public order, or (vi) for preventing incitement to the commission of any cognizable offence relating to above. These provisions potentially bestow expansive powers on the executive regarding oversight over digital media services in India, including social media, digital news media and OTT on-demand services.

During June 2020 through September 2020, the Ministry of Electronics and Information Technology, in exercise of such powers, issued directions banning 267 mobile apps upon receiving complaints about misuse of such apps for stealing and surreptitiously transmitting users’ data in an unauthorized manner to servers located outside India.

The Intermediary Guidelines also establish a new process by which government officials can issue directions to delete, modify or block content to intermediaries and publishers, either following a grievance process or including procedures of “emergency” blocking orders which may be passed ex-parte. An intermediary must provide,

within seventy two hours of receiving a government or court order, all information under its possession or control, or otherwise assist the government agency undertaking the investigation or cyber security activities. These requirements for content control and access are burdensome because of the very short time window provided to intermediaries to comply with the orders of take down or content access issued by the government or a court.

E-Commerce

E-commerce is regulated by a combination of laws, regulations and policies: (i) the Consumer Protection (E-commerce Rules 2020, that govern e-commerce entities and their conduct (ii) the FDI Policy that regulates FDI in e-commerce, and (iii) the IT Act 2000 that provides legal recognition to e-commerce transactions.

FDI in e-commerce is also regulated. These rules and regulations refer to two types of e-commerce models: (i) inventory based model of e-commerce, which means the inventory of goods and services is owned by e-commerce entity and is sold to the consumers directly; and (ii) marketplace based model of e-commerce, which means providing of an information technology platform by an e-commerce entity to facilitate contact between buyers and sellers.

The FDI Policy of 2020 (as indicated in Table 4 above) permits 100% FDI under the automatic route in the marketplace model of e-commerce. But no FDI is permitted in the inventory-based model. While the purpose of this policy is primarily to check the predatory pricing and deep discounting offered by behemoth global online retailers to the detriment of local retailers, this policy disrupted the standard industry practice in the e-commerce business. More specifically, under this policy the RBI prohibits any entity (i) from having equity contribution from an e-commerce marketplace or its group companies or (ii) allowing its inventory to be controlled by an e-commerce marketplace entity or group companies, or to sell its products on a platform run by such a marketplace entity.

The FDI Policy also imposes certain restrictions on FD in e-commerce, including the following:

- E-commerce entities which provide a marketplace are not permitted to exercise ownership or control over the inventory or goods purported to be sold. The inventory of a vendor would be deemed to be controlled by e-commerce marketplace entity if more than 25% (twenty five per cent) of purchases of such vendor are from the marketplace entity or its group companies.
- An entity having equity participation by an e-commerce marketplace entity, or its group companies, or having control on its inventory by an e-commerce marketplace entity or its group companies, will not be permitted to sell its products on the platform run by such marketplace entity.
- An e-commerce marketplace entity will not mandate any seller to sell any product exclusively on its platform only.
- Services should be provided by e-commerce marketplace entity or other entities in which e-commerce marketplace entity has direct or indirect equity participation or common control, to vendors on the platform at arm's length and in a fair and non-discriminatory manner. Such services will include but not limited to fulfilment, logistics, warehousing, advertisement/ marketing, payments, financing etc.
- Cash back provided by group companies of marketplace entity to buyers must be fair and non-discriminatory. For the purposes of this clause, provision of services to any vendor on such terms which are not made available to other vendors in similar circumstances will be deemed unfair and discriminatory.

The FDI Policy permits single brand product retail trading, who are operating through brick and mortar stores, to undertaking retail trading through e-commerce. However, if these entities undertake retail trading through e-commerce prior to opening of a brick and mortar store, then the entity must ensure that they open a brick and mortar store within 2 years from the date of starting online retail.

The IT Act recognizes and validates online transactions concluded through electronic means, provided such contracts are otherwise

valid under the country's laws. Further, e-commerce retailers engaged in payment systems are required to obtain the RBI approval and are subject to compliances under the Payment and Settlement Systems Act, 2007. On August 23, 2016 (prior to the demonetization exercise in November 2016), a Committee on Digital Payments headed by the Ministry of Finance was tasked by the Union Government to recommend proper measures for encouraging digital payments (and discourage cash transactions) and the regulatory framework for digital payments in India. In 2019, the RBI set up another high level Committee on Deepening of Digital Payments with the vision of encouraging digitization of payments and enhancing financial inclusion through digitization. The two committees' findings and recommendations subsequently led to updating the Payment and Settlement Systems Act and the creation of regulatory sandbox mechanism among other initiatives to promote digital payments in India. Starting July 2022, under the new RBI guidelines issued in 2021, only card issuers and card networks would be permitted to store card details of customers, but all merchants and payment banks and aggregators would be required to remove these details from their e-commerce platforms in order to boost security of payment card data.

The Consumer Protection (E-Commerce) Rules, 2020 (E-Commerce Rules), promulgated under the Consumer Protection Act, govern e-commerce entities and their conduct and list the duties and liabilities of e-commerce entities and sellers. In June 2021, the Ministry of Consumer Affairs published the draft amendments to the E-Commerce Rules, which propose a much stricter regime than the one currently in place, and if passed, they would require all e-commerce firms intending to operate in India to obtain a registration from the DPIIT, impose fallback liability on e-commerce entities in case of non-delivery of goods or services by a seller, and regulate flash sales.

India has implemented the UNCITRAL model laws on Electronic Commerce and on Electronic Signatures. The Preamble to the IT Act 2000 references the Model Law on Electronic Commerce. The Information Technology Act, 2000 gives validity to electronic signatures.

ENDNOTES

¹ The WTO services sectoral classification list (W/120) is a comprehensive list of services sectors and sub-sectors covered under the GATS. It was compiled by the WTO in July 1991 and its purpose was to facilitate the Uruguay Round negotiations, ensuring cross-country comparability and consistency of the commitments undertaken. The 160 sub-sectors are defined as aggregate of the more detailed categories contained in the United Nations provisional Central Product Classification (CPC). The list can be accessed under the following link: http://www.wto.org/english/tratop_e/serv_e/mtn_gns_w_120_e.doc.

Services are categorized into 12 sectors:

1. Business services
2. Communication services
3. Construction and related engineering services
4. Distribution services
5. Educational services
6. Environmental services
7. Financial services
8. Health related and social services
9. Tourism and travel related services
10. Recreational, cultural and sporting services
11. Transport services
12. Other services not included elsewhere

² For the purposes of this research, the following 32 sectors have been identified. This is not an exhaustive list of all sectors of the economy.

Primary: 1. Agriculture, Hunting, Forestry, and Fishing 2. Mining, Quarrying, and Petroleum	Services: 18. Electricity, Gas, and Water 19. Alternative Energy 20. Construction 21. Wholesale and Retail Trade 22. Hotels and Restaurants 23. Other Travel and Tourism-related Services 24. Logistics, Transport, and Storage 25. Telecommunications 26. Computer and Software Services 27. Financial Services including Insurance 28. Real Estate 29. Business Services 30. Professional, Scientific and Technical Services (Engineering, Architecture, and so forth) 31. Health Services 32. Media and Entertainment
Manufacturing: 3. Agroprocessing, Food Products, and Beverages 4. Textiles, Apparel, and Leather 5. Chemicals and Chemical Products 6. Rubber 7. Plastic Products 8. Pharmaceuticals, Biotechnology, and Medical Devices 9. Metals and metal products 10. Non-metal mineral products 11. Wood and wood products (other than Furniture) 12. Furniture 13. Paper and paper products 14. Printing and publishing 15. Automobiles, Other Motor Vehicles, and Transport Equipment 16. Information Technology and Telecommunications Equipment 17. Machinery and Electrical and Electronic Equipment and Components	

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This Investment Policy and Regulatory Review presents information on the legal and regulatory frameworks governing foreign direct investment. Since legal and regulatory frameworks are constantly evolving, a cut-off date was set for the research. This country review therefore covers information available as of **December 31, 2021**, unless otherwise indicated in the review. IPRRs are available for the following middle-income countries: Brazil, China, India, Indonesia, Malaysia, Mexico, Nigeria, Thailand, Turkey, and Vietnam.